PSU Banks Note

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Equity Research Desk

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BUYers in large PSU Banks; valuations full for small & mid-cap banks

Current credit cycle formation has come after nearly 15 years. Banking sector is in a one of the best phase currently which is likely to continue over the next 3-4 years' time given strong credit cycle, high interest rate environment boosting margins, lowest NPLs currently. Unlike general perception, over the last 2-3 years, PSU Banks market share in systemic business has not only arrested but rather improved marginally. Incremental NPL formation has reduced considerably and provisions on past NPLs increased to 70-80% levels. Going forward, PSU Banks which has considerable pan-India presence with strong liability franchise will be able to participate in the current above average credit cycle equally. Also, valuations aren't at peak levels signaling further room for improvement from the current levels. In our view, large cap banks (SBI, Canara Bank, Bank of Baroda) are still better-off given reasonable valuations and witnessing healthy deposits growth as well.

Market share game – Recent credit offtake of all the PSU banks put together (for our calculations, we have considered 12 PSUB which form more than 95% of the total PSU banks put together) i.e. in H1FY23 was high at 20.9% above the industry average growth rate of 17.2% - reflecting public sector banks are equally participating in the growth. PSU banks' credit offtake market share in total systemic credit has increased marginally from 56% in FY21 to 56.4% in H1FY23. Here again, large bank banks have gained the marginally while mid & small cap banks have lost. On the liability side, PSU Banks share in total systemic deposits has fallen marginally from 61.5% in FY21 to 60.4% in H1FY23. However, market share loss is largely being witnessed by Bank of India, PNB, Central Bank of India and IDBI Bank while all other banks including large banks SBI, BOB, Canara Bank have retained or rather increased their market share marginally.

Balance sheets have cleaned up after a nearly a decade – Aggressive provisions on past high NPLs have cleaned up balance sheet of the banks in a major way. In addition to this, incremental bad assets formation has also reduced considerably. GNPLs of PSUB in absolute terms has come down to by 18% in last 1.5 years to INR 4.8 trillion as on H1FY23 while PCR has improved to 70-80% levels. We expect benign credit cost outlook; not only this; cleaner & stronger balance sheets will allow the banks to participate in credit up-cycle meaningfully.

Six Months Performance

Bank	CMP	6M	(%)
SBI	623	451	38%
BOB	193	93	107%
Union Bank	95	36	161%
Canara Bank	328	197	66%
BOI	101	44	130%
PNB	60	30	100%
Central Bank	40	18	126%
Bank of Mahrashtra	35	16	119%
IDBI Bank	58	35	66%
Punjab & Sind Bank	43	14	200%
UCO BANK	34	11	209%

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Valuations

- **Strong profitability to continue going forward leading to further valuation re-rating in the stocks – PSU Banks have turned profitable after a decade driven by above said factors. We expect strong profitability to continue going forward as well driving their return ratios and hence, valuation re-rating is likely to continue going forward as well. Large banks viz. SBI (1.2x FY24e ABV standalone), BOB (1x FY24e ABV), Canara Bank (0.8x FY24e ABV) (here, we have done based on back of the envelope calculations to arrive at estimations) are best positioned to capture higher credit demand and their deposit growth is also equally strong and valuations reflect more upside from current levels. While in small & mid-cap banks valuations are running ahead of return ratios; reflecting positives are largely captured and hence, price performance from hereon will be subdued.**
- For e.g. PNB & Central Bank of India are likely to generate ROA of 0.1-0.3% in FY24e (back of the envelope calculations) while surprisingly, they are trading at 0.9-1.4x FY24e ABV – which looks unreasonably high. And similarly, for UCO Bank & Punjab & Sind Bank ROA is estimated to be at 0.7-0.9x FY24e and they are trading at much higher valuations of >1.5x FY24e ABV multiple (UCO Bank/Punjab & Sind Bank at 1.5x/2x FY24e ABV). For Bank of Maharashtra & IDBI Bank ROAs would be >1% FY24e while current valuations looks to fully captures the positives (both are trading at 1.3x each FY24e ABV). **Hence, small & mid-cap banks valuations are running ahead of return ratios; and hence, price performance from hereon will be subdued.**
- **At current valuations, large banks viz. SBI (1.2x FY24e ABV standalone), BOB (1x FY24e ABV), Canara Bank (0.8x FY24e ABV) are looking good as valuations are still reasonable** and other reasons listed here 1) large banks with mammoth balance-sheet size will see meaningful expansion in ROAs 2) these banks can also participate in the corporate credit growth revival in meaningful way 2) they have either improved or maintained their market share on deposits side. At the current juncture, healthy deposit growth will be crucial for strong profit growth as for others will have resort to bulk deposits to fund credit growth resulting in subdued profitability growth going forward 4) valuations reflect more upside; SBI/BOB/Canara Bank is trading at 1.2x/1x/0.8x ABV FY24e (based on consensus estimates & our back of the envelope calculations).
- SBI, being the largest bank, is the best play for revival in corporate credit demand revival and valuations have decent room for upside. Core Bank is trading at 1.2x FY24e ABV (ROE of >15%, ROA of >1%) which can improve to 1.5x, upside of 23% from the current levels.
- In case of BOB, key positive is sharp pickup in deposits (@16.6% in Q2FY23 vs. 11.3% seen in FY22) which will drive outperformance in the profits vis-à-vis others. ROE is estimated to jump to 14.8% in FY24e from 8.9% in FY22 (ROA of 1% in FY24e). Currently, it is trading at 1x FY24e ABV, which can improve to 1.2x reflecting upside of 22% from the current levels.
- Canara Bank is trading at 0.8x FY24e ABV on ROE/ROA of 15%/0.8% for the same period. Valuation multiple can improve to 1x giving upside of 23% from the current levels.

We have seen decent run-up in the PSU Banking (PSUB) stocks given the improved fundamentals and low valuations. PSU banks have turned profitable after 8-9 years as balance-sheet are cleaner given past NPLs are largely provided for, incremental credit costs are lower. And also, performance is better at core income level with credit growth improving and margins expanding along-with all-time low credit costs for the banks.

Table 1 – Profitability had already started improving from FY22 period onwards, which further got accentuated in H1FY23, partly due to low base-effect and also because of improved core income and all-time low credit costs. ROEs which had gone down to historic low levels 6-7 years back are now witnessing upward trajectory with rapid pace

(Rs. Cr)	PAT (Rs.cr)		PAT Growth (%)		ROE (%)	
	FY22	FY23E	FY22	FY23E	FY22	FY23E
SBI	31,676	46,832	55.2	47.8	11.9	15.6
Bank of Baroda	7,272	11,636	777	60	9	13
Union Bank	5,232	6,540	80	25	7.7	9
Canara Bank	5,678	9,653	122	70	9	14
Bank of India	3,405	4,021	57.6	18.1	6.7	7.1
PNB	3,457	1,600	71	-54	4	2
Central Bank of India	1,045	1,254	-217.7	20	3.9	4.5
Bank of Maharashtra	1,152	2,303	109	100	9	16
IDBI Bank	2,534	3,284	86.4	29.6	6.5	7.6
Punjab & Sind Bank	1,039	1,082	-138	4	9	8
UCO BANK	930	1,728	456.6	85.9	4	7.1

Source: Company, Dalal & Broacha Research

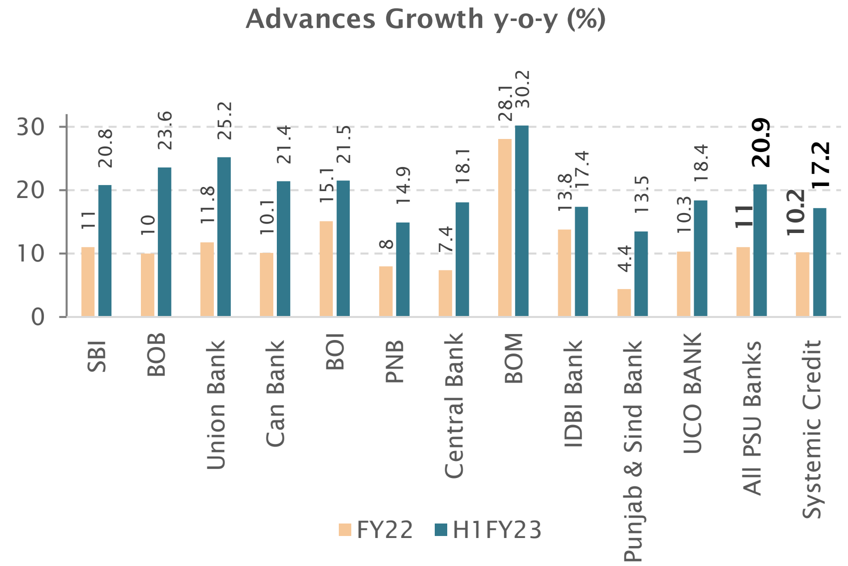
Note: Above estimates are based on back of the envelope calculations

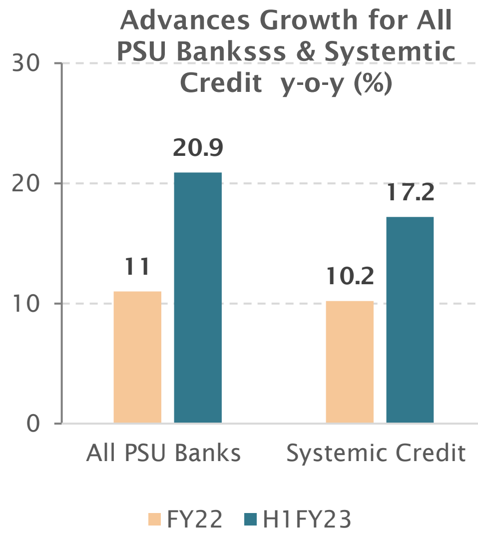
Lets' understand their profitability drivers more in detail

Credit Offtake

- Unlike the general perception, credit growth for PSUB is being equally strong recently; as they are also participating in higher credit offtake witnessed in the economy. Blended credit growth for all PSUB (for our calculations, we have considered 12 PSUB which form more than 95% of the total PSU banks put together) was at 20.9% in H1FY23 vs. industry average growth of 17.2% seen; implying they also well participated in the credit growth run-up (vs. 11% seen in FY22).
- **PSU banks' credit offtake market share in total systemic credit has increased marginally from 56% in FY21 to 56.4% in H1FY23.** Here again, large cap banks including BOB, Canara Bank, Union Bank, BOI (excl. SBI) have seen improved market share in advances. **Here again, large bank banks have gained the marginally while mid & small cap banks have lost.** While SBI has marginally lost market share from 23.4% in FY21 to 23% in H1FY23.

Advances Growth





Source: Company, Dalal & Broacha Research

Table 2 – SBI, BOB, Union Bank, Canara Bank, BOI and Bank of Maharashtra are growing much ahead of systemic average growth.

(Rs. Cr)	O/S Advances				Advances Growth (YoY)	
	FY21	FY22	H1FY22	H1FY23	FY22	H1FY23
SBI	25,39,393	28,18,671	24,43,194	29,51,288	**11.0**	**20.8**
Bank of Baroda	7,06,301	7,77,155	6,93,820	8,57,458	**10.0**	**23.6**
Union Bank	5,90,983	6,61,005	5,80,971	7,27,492	**11.8**	**25.2**
Canara Bank	6,39,049	7,03,602	6,49,584	7,88,502	**10.1**	**21.4**
Bank of India	3,65,686	4,20,842	3,78,727	4,60,232	**15.1**	**21.5**
PNB	6,74,230	7,28,186	6,73,226	7,73,403	**8.0**	**14.9**
Central Bank of India	1,56,579	1,68,174	1,55,268	1,83,369	**7.4**	**18.1**
Bank of Maharashtra	1,02,405	1,31,170	1,10,728	1,44,163	**28.1**	**30.2**
IDBI Bank	1,28,150	1,45,772	1,25,011	1,46,752	**13.8**	**17.4**
Punjab & Sind Bank	60,942	63,627	60,096	68,205	**4.4**	**13.5**
UCO BANK	1,11,355	1,22,784	1,14,428	1,35,428	**10.3**	**18.4**
All PSU Banks	**60,75,071**	**67,40,987**	**59,85,053**	**72,36,291**		
Growth (y-o-y) (%)		**11.0**		**20.9**		
Systemic Credit	**1,08,39,480**	**1,19,48,188**	**1,09,51,050**	**1,28,39,456**		
Growth (y-o-y) (%)		**10.2**		**17.2**		

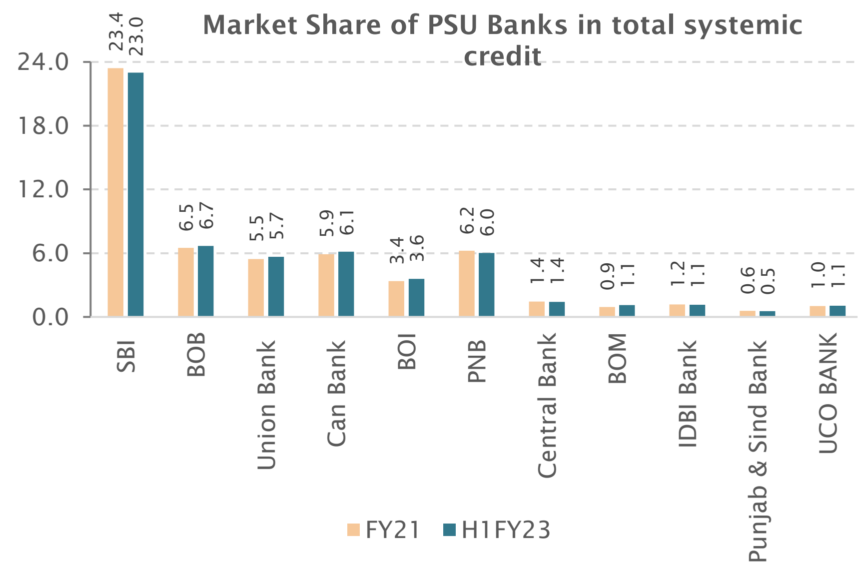
Source: Company, Dalal & Broacha Research

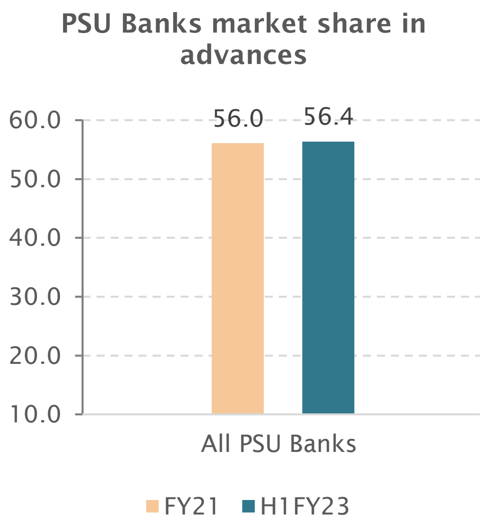
Table 3 – Off recently, PSU banks market share fall has been arrested, they have retained their share or rather increase marginally. Here again, large bank banks have gained the marginally while mid & small cap banks have lost

(%)	FY21	FY22	H1FY22	H1FY23
Market Share in advances for PSU Banks	**56.0**	**56.4**	**54.7**	**56.4**
SBI	23.4	23.6	22.3	23.0
Bank of Baroda	6.5	6.5	6.3	6.7
Union Bank	5.5	5.5	5.3	5.7
Canara Bank	5.9	5.9	5.9	6.1
Bank of India	3.4	3.5	3.5	3.6
PNB	6.2	6.1	6.1	6.0
Central Bank of India	1.4	1.4	1.4	1.4
Bank of Maharashtra	0.9	1.1	1.0	1.1
IDBI Bank	1.2	1.2	1.1	1.1
Punjab & Sind Bank	0.6	0.5	0.5	0.5
UCO BANK	1.0	1.0	1.0	1.1

Source: Company, Dalal & Broacha Research

Market Share of PSU Banks in total systemic advances





Source: Company, Dalal & Broacha Research

Deposit growth

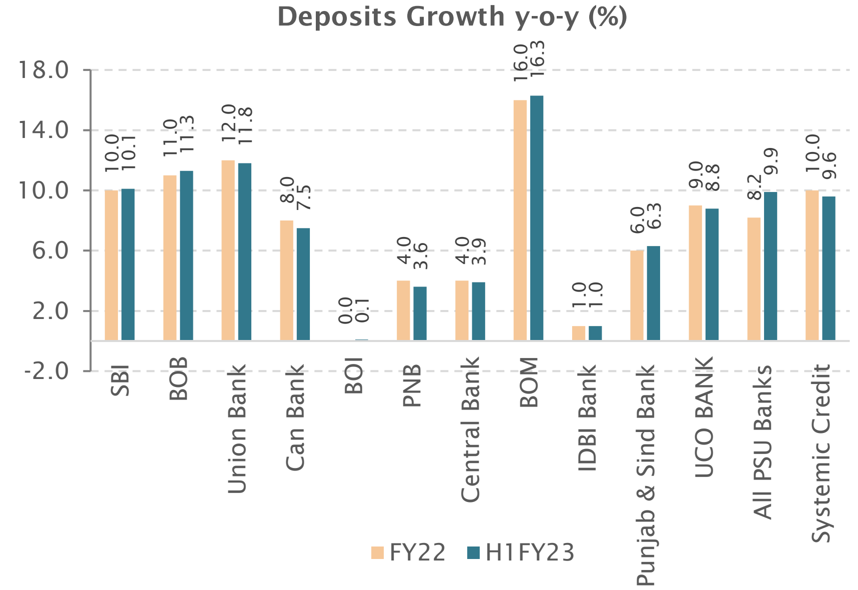
- On liability side as well, PSUB are witnessing healthy deposit growth marginally ahead of the industry, which is a key challenge for all the banks currently. Blended deposit growth for PSUB was at 9.9% in H1FY23 (vs. 8.2% in FY22) vs. 9.6% industry deposit growth for the same period. However, industry deposit growth itself has come down from 10% seen in FY22 to 9.6% in H1FY23 which is led by fall in both CASA deposits (16.1% vs. 14.5%) and term deposits too (9.3% vs. 9%).
- Banks having healthy deposit growth will be able to stand out in terms of profitability vis-à-vis others. Large banks are witnessing ahead of industry growth (like BOB, Union Bank, Canara Bank and SBI). Also, in order to fund high credit growth, banks can utilize their investments in government bonds reflecting in high investment to deposit ratio
- Total market share of PSUB in systemic deposits has come down from 61.5% in FY21 to 60.4% in H1FY23. **However, market share loss is largely being witnessed by Bank of India, PNB, Central Bank of India and IDBI Bank while all other banks including large banks SBI, BOB, Canara Bank have retained or rather increased their market share marginally.**

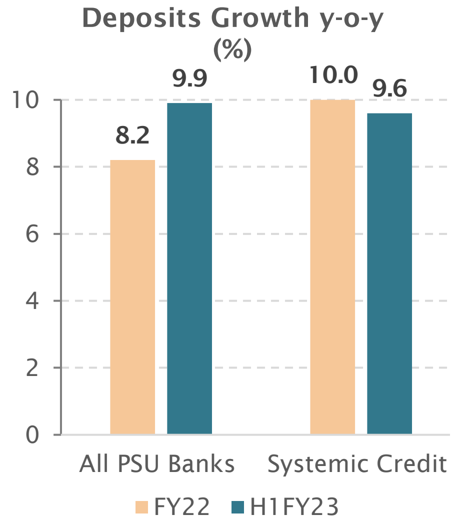
Table 4 – Deposit growth of PSU banks in-line with the industry

	Deposits				Deposits Growth (YoY)	
(Rs. Cr)	**FY21**	**FY22**	**H1FY22**	**H1FY23**	**FY22**	**H1FY23**
SBI	36,81,277	40,51,534	38,09,630	41,90,255	**10.0**	**10.0**
Bank of Baroda	9,66,997	10,75,804	9,59,484	11,19,041	**11.0**	**16.6**
Union Bank	9,23,805	10,32,393	9,14,022	10,43,265	**12.0**	**14.1**
Canara Bank	10,10,875	10,86,409	10,32,537	11,33,964	**8.0**	**9.8**
Bank of India	6,27,114	6,27,896	6,12,961	6,47,541	**0.0**	**5.6**
PNB	11,06,332	11,46,218	11,15,373	11,93,501	**4.0**	**7.0**
Central Bank of India	3,29,973	3,42,692	3,36,500	3,43,081	**4.0**	**2.0**
Bank of Maharashtra	1,74,006	2,02,294	1,81,572	1,95,849	**16.0**	**7.9**
IDBI Bank	2,30,852	2,33,134	2,23,305	2,30,310	**1.0**	**3.1**
Punjab & Sind Bank	96,108	1,02,137	1,01,910	1,05,238	**6.0**	**3.3**
UCO BANK	2,05,919	2,24,073	2,13,686	2,35,149	**9.0**	**10.0**
All PSU Banks	**93,53,258**	**1,01,24,585**	**95,00,981**	**1,04,37,194**		
Growth of all PSU Banks (y-o-y) (%)		8.2		9.9		
Systemic Total Deposits	**1,52,14,886**	**1,67,42,309**	**1,57,55,753**	**1,72,72,942**		
Systemic Demand Deposits	**17,43,506**	**20,24,707**	**17,86,335**	**20,44,691**		
Systemic Time Deposits	**1,34,71,380**	**1,47,17,602**	**1,39,69,418**	**1,52,28,251**		
Growth (y-o-y) (%)						
Systemic Total Deposits		**10.0**		**9.6**		
Systemic Demand Deposits		**16.1**		**14.5**		
Systemic Time Deposits		**9.3**		**9.0**		

Source: Company, Dalal & Broacha Research

Deposit Growth





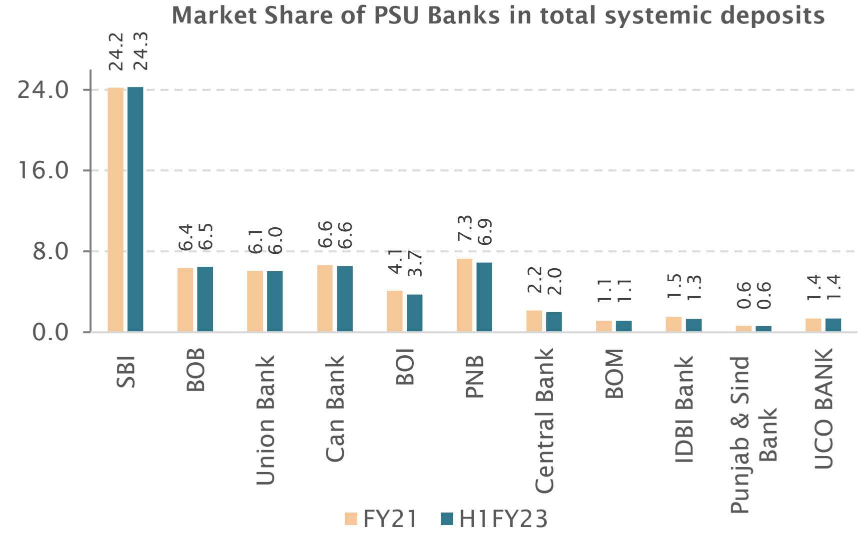
Source: Company, Dalal & Broacha Research

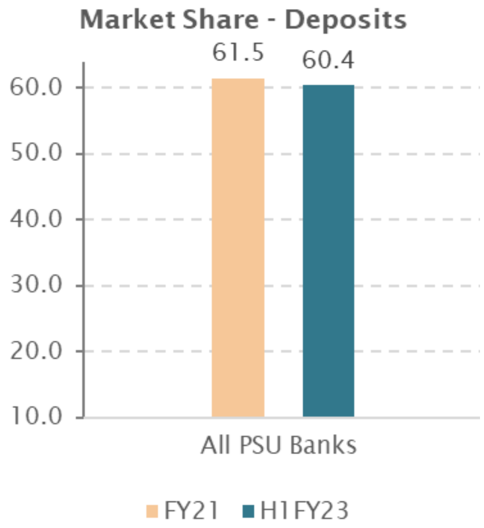
Table 5 – Strong deposit growth has been healthy for PSU banks enabling them to retain market share

(%)	FY21	FY22	H1FY22	H1FY23
Total mkt share of all PSU banks	**61.5**	**60.5**	**60.3**	**60.4**
SBI	24.2	24.2	24.2	24.3
Bank of Baroda	6.4	6.4	6.1	6.5
Union Bank	6.1	6.2	5.8	6.0
Canara Bank	6.6	6.5	6.6	6.6
Bank of India	4.1	3.8	3.9	3.7
PNB	7.3	6.8	7.1	6.9
Central Bank of India	2.2	2.0	2.1	2.0
Bank of Maharashtra	1.1	1.2	1.2	1.1
IDBI Bank	1.5	1.4	1.4	1.3
Punjab & Sind Bank	0.6	0.6	0.6	0.6
UCO BANK	1.4	1.3	1.4	1.4

Source: Company, Dalal & Broacha Research

PSU Banks' market Share in Deposits – Bank of India, PNB, IDBI Bank, Central Bank have lost their market share while all other PSU Banks have either gained or retained their share.





Source: Company, Dalal & Broacha Research

Asset quality

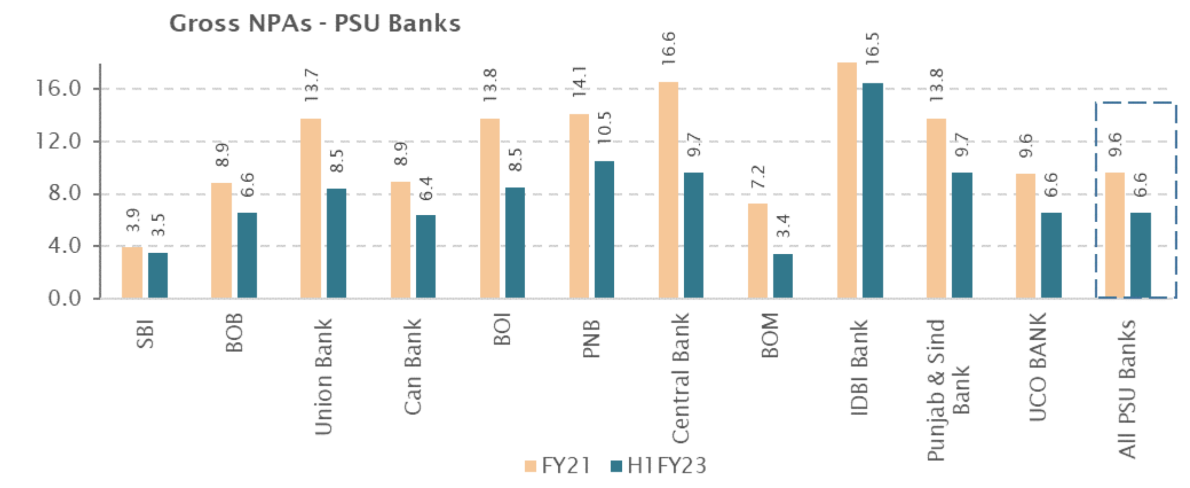
- Over the last 8-9 years, PSUB have aggressively provided for gross NPLs leading to higher credit costs which had impacted their profitability. GNPLs of PSUB in absolute terms has come down to by 18% in last 1.5 years to INR 4.8 trillion as on H1FY23. While the PCR of all the banks has progressed to more than 70-80% levels resulting in lower incremental credit costs. Given past NPLs largely provided for, incremental credit costs outlook is likely to be benign which is likely to boost their profitability sizably

Table 6 – NPLs are near-decadal low levels; PCR above 70-80%

	Gross NPAs			Net NPAs			PCR (%)			Gross NPAs (%)			Net NPAs		
(Rs. Cr)	FY21	FY22	H1FY23	FY21	FY22	H1FY23	FY21	FY22	H1FY23	FY21	FY22	H1FY23	FY21	FY22	H1FY23
SBI	1,13,272	1,06,804	1,06,804	28,257	23,572	23,572	75.1	77.9	77.9	3.9	3.5	3.5	1.0	0.8	0.8
Bank of Baroda	66,671	54,059	54,059	21,800	13,365	13,365	67.3	75.3	75.3	8.9	6.6	6.6	3.1	1.7	1.7
Union Bank	89,788	79,587	65,391	27,281	24,303	19,193	69.6	69.5	70.6	13.7	11.1	8.5	4.6	3.7	2.6
Canara Bank	60,287	55,652	52,485	2,444	18,668	17,286	95.9	66.5	67.1	8.9	7.5	6.4	3.8	2.7	2.2
Bank of India	56,535	45,605	42,014	12,262	9,852	8,836	78.3	78.4	79.0	13.8	10.0	8.5	3.4	2.3	1.9
PNB	1,04,423	92,448	87,035	38,576	34,909	29,348	63.1	62.2	66.3	14.1	11.8	10.5	5.7	4.8	3.8
Central Bank of India	29,277	28,156	19,059	9,036	6,675	5,407	69.1	76.3	71.6	16.6	14.8	9.7	5.8	4.0	3.0
Bank of Maharashtra	7,780	5,327	5,039	2,544	1,277	986	67.3	76.0	80.4	7.2	3.9	3.4	2.5	1.0	0.7
IDBI Bank	36,212	34,115	28,722	2,519	1,856	1,687	93.0	94.6	94.1	22.4	19.1	16.5	2.0	1.3	1.2
Punjab & Sind Bank	9,334	8,565	7,128	2,462	1,742	1,528	73.6	79.7	78.6	13.8	12.2	9.7	4.0	2.7	2.2
UCO BANK	11,352	10,237	9,359	4,390	3,316	2,700	61.3	67.6	71.1	9.6	7.9	6.6	3.9	2.7	2.0
All PSU Banks	**5,84,931**	**5,20,556**	**4,77,096**	**1,51,571**	**1,39,535**	**1,23,909**									
Growth (YoY) (%)			**-18.4**			**-18.3**									

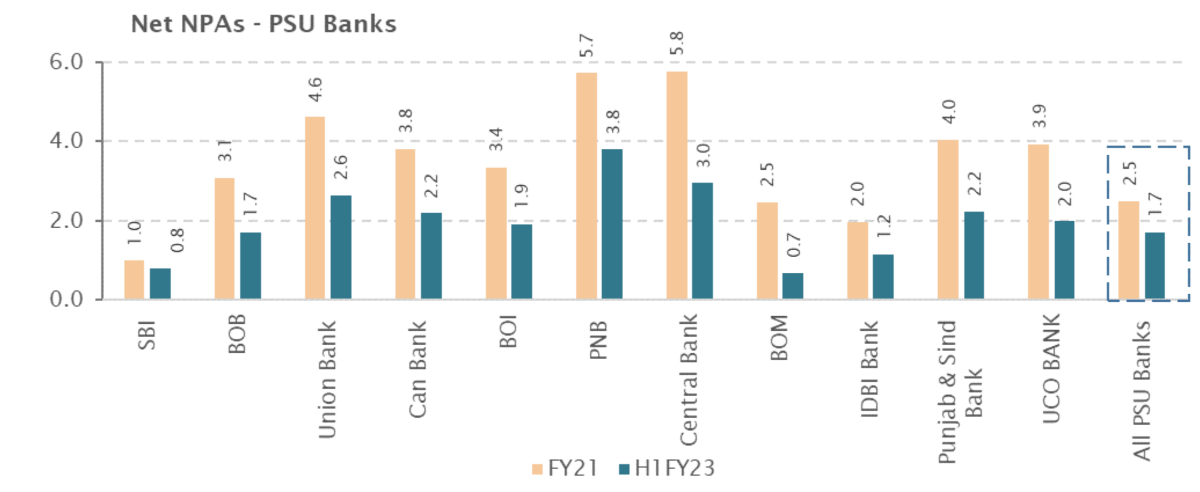
Source: Company, Dalal & Broacha Research

Gross NPAs of PSU Banks is meaningfully down…



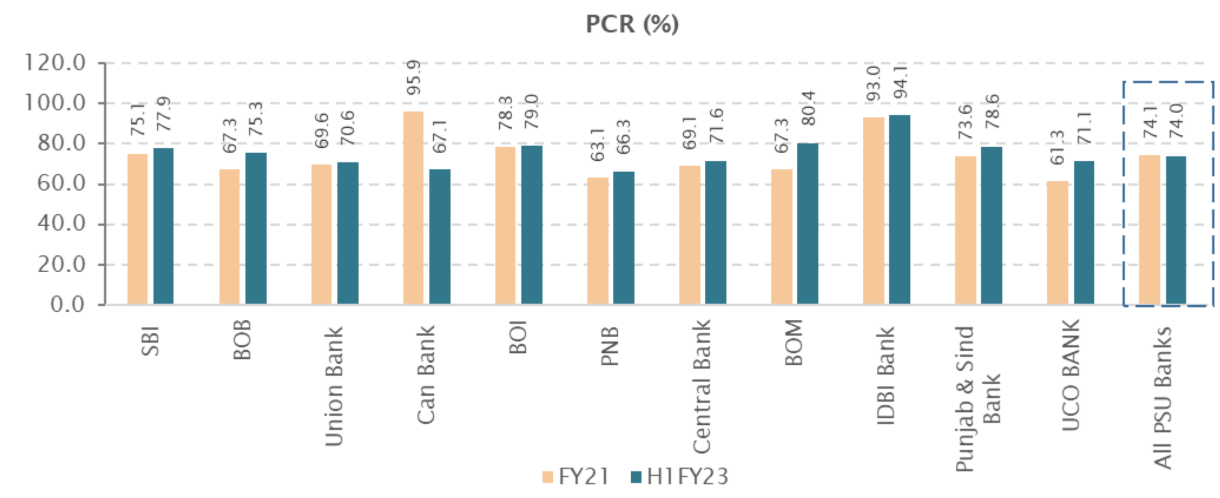
Source: Company, Dalal & Broacha Research

….Net NPAs too given aggressive provisions made on NPLs



Source: Company, Dalal & Broacha Research

PCR of all PSU Banks is high at >70-80% levels, reflecting incremental provisioning on past NPLs should be materially less.



Source: Company, Dalal & Broacha Research

Valuations

- Importantly, for the all the banks, we have done back of the envelope calculations to arrive at estimates and not detailed one.
- Profits have witnessed substantial jump from the last 1.5 years resulting in improved return ratios after nearly 7-8 years due to receding NPA issues and lower incremental credit cost burden.
- In our view, strong profitability is expected to continue going forward as well – Strong pick-up in credit cycle which is being seen after more than a decade and cleaner balance-sheets will result in healthy profits for the banks going forward. What is driving credit growth - Pvt. investment cycle has picked up which has resulted in rise in corporate lending growth for banks. Demand is being witnessed across the sectors like infrastructure, real estate, iron & steel etc. Lending to corporations, including small, medium & large businesses was up by 12.6% y-o-y for the month of Sep 2022, largest growth seen after 2014. Factors driving the growth 1) government push - govt. will be investing INR 7.5 trillion in FY23 for infrastructure 2) corporates indebtedness has reduced resulting in higher demand. According to CRISIL India's largest 15000 industrial companies will have annual capital spending of INR 4.4 trillion in FY23 and INR 5 trillion each in FY24 & FY25 each 3) rise in bond yields has also resulted in demand shifting from bond mkt to banks 4) rupee depreciation has also made dollar funding unattractive for corporates resulting in demand shifting to domestic banks
- In our view, current run rate of credit growth is here to stay. Here again, banks that have better deposit growth will witness higher profitability growth in the current phase of slower deposit growth being witnessed in the economy. We have done rough estimation of all the 12 PSU banks. And our bank of the envelop calculations suggests, average ROA for all the PSU banks will see expansion of nearly 20-30 bps in FY23e vs. FY22 levels.
- At current valuations, we find value in large cap PSU Banks and not in small & mid-cap PSU stocks as in the latter valuations are running ahead of the return ratios they would be generating.
- For e.g. PNB & Central Bank of India are likely to generate ROA of 0.1-0.3% in FY24e (back of the envelope calculations) while surprisingly, they are trading at 0.9-1.4x FY24e ABV – which looks unreasonably high. And similarly, for UCO Bank & Punjab & Sind Bank ROA is estimated to be at 0.7-0.9x FY24e and they are trading at much higher valuations of >1.5x FY24e ABV multiple (UCO Bank/Punjab & Sind Bank at 1.5x/2x FY24e ABV). For Bank of Maharashtra & IDBI Bank ROAs would be >1% FY24e while current valuations looks to fully captures the positives (both are trading at 1.3x each FY24e ABV). **Hence, small & mid-cap banks valuations are running ahead of return ratios; and hence, price performance from hereon will be subdued.**
- **At current valuations, large banks viz. SBI (1.2x FY24e ABV standalone), BOB (1x FY24e ABV), Canara Bank (0.8x FY24e ABV) are looking good as valuations are still reasonable** and other reasons listed here 1) large banks with mammoth balance-sheet size will see meaningful expansion in ROAs 2) these banks can also participate in the corporate credit growth revival in meaningful way 2) they have either improved or maintained their market share on deposits side. At the current juncture, healthy deposit growth will be crucial for strong profit growth as for others will have resort to bulk deposits to fund credit growth resulting in subdued profitability growth going forward 4) valuations reflect more upside; SBI/BOB/Canara Bank is trading at 1.2x/1x/0.8x ABV FY24e (based on consensus estimates & our back of the envelope calculations).
- SBI, being the largest bank, is the best play for revival in corporate credit demand revival and valuations have decent room for upside. Core Bank is trading at 1.2x FY24e ABV (ROE of >15%, ROA of >1%) which can improve to 1.5x, upside of 23% from the current levels.
- In case of BOB, key positive is sharp pickup in deposits (@16.6% in Q2FY23 vs. 11.3% seen in FY22) which will drive outperformance in the profits vis-à-vis others. ROE is estimated to jump to 14.8% in FY24e from 8.9% in FY22 (ROA of 1% in FY24e). Currently, it is trading at 1x FY24e ABV, which can improve to 1.2x reflecting upside of 22% from the current levels.
- Canara Bank is trading at 0.8x FY24e ABV on ROE/ROA of 15%/0.8% for the same period. Valuation multiple can improve to 1x giving upside of 23% from the current levels.

Table 7 – Valuations Snapshot

Banks		ROA (%)			ROE (%)		P/ABV (x)	
	CMP Rs.	FY22	FY23E	FY24E	FY22	FY23E	FY23E	FY24E
SBI	623	0.7	0.9	0.9	11.9	15.6	1.4	1.2
Bank of Baroda	192	0.6	0.8	1.0	8.9	12.8	1.2	1.0
Union Bank	95	0.5	0.5	0.6	7.7	9.0	1.2	1.0
Canara Bank	328	0.5	0.7	0.8	9.1	13.7	1.0	0.8
Bank of India	102	0.5	0.5	0.5	6.7	7.1	0.8	0.8
PNB	59	0.3	0.1	0.1	3.7	1.7	1.0	0.9
Central Bank of India	40	0.3	0.3	0.3	3.9	4.5	1.5	1.4
Bank of Maharashtra	35	0.5	0.9	1.2	8.9	15.6	1.6	1.3
IDBI Bank	57	0.8	1.0	1.1	6.5	7.6	1.4	1.3
Punjab & Sind Bank	43	0.9	0.8	0.9	9.3	7.5	2.2	2.0
UCO BANK	32	0.4	0.6	0.7	4.0	7.1	1.7	1.5

Source: Company, Dalal & Broacha Research

Note: Above estimates are based on back of the envelope calculations

SBI – Brief Financial Snapshot

P&L (Rs Cr)	FY20	FY21	FY22
Interest income	2,57,324	2,65,151	2,75,457
Interest expense	1,59,239	1,54,441	1,54,750
NII	**98,085**	**1,10,710**	**1,20,708**
Non-interest income	45,221	41,957	40,564
Net revenues	**1,43,306**	**1,52,667**	**1,61,272**
Operating expenses	75,174	82,652	85,979
PPOP	**68,133**	**70,014**	**75,292**
Provisions	43,070	42,473	31,871
PBT	**25,063**	**27,541**	**43,422**
Tax	10,575	7,131	11,746
PAT	**14,488**	**20,410**	**31,676**

Balance sheet	FY20	FY21	FY22
Share capital	892	892	892
Reserves & surplus	2,31,115	2,52,983	2,79,196
Net worth	**2,32,007**	**2,53,875**	**2,80,088**
Deposits	32,41,621	36,81,277	40,51,534
Borrowings	3,14,656	4,17,298	4,26,043
Other liability	1,63,110	1,81,980	2,29,932
Total liabilities	**39,51,394**	**45,34,430**	**49,87,597**
Fixed assets	38,439	38,419	37,708
Investments	10,46,955	13,51,705	14,81,445
Loans	23,25,290	24,49,498	27,33,967
Cash	2,51,097	3,43,039	3,94,552
Other assets	2,89,614	3,51,769	3,39,925
Total assets	**39,51,394**	**45,34,430**	**49,87,597**

Ratios	FY21	FY22
Growth (%)		
NII	12.9	9.0
PPOP	2.8	7.5
PAT	40.9	55.2
Advances	5.3	11.6
Deposits	13.6	10.1
Spread (%)		
Yield on Funds	6.8	6.3
Cost of Funds	4.0	3.6
Spread	2.8	2.7
NIM	2.9	2.8
Asset quality (%)		
Gross NPAs	3.4	5.0
Net NPAs	1.2	1.5
Provisions	65	70
Return ratios (%)		
RoE	8.4	11.9
RoA	0.3	0.4
Per share (Rs)		
EPS	23	35
BV	284	314
ABV	243	283
Valuation (x)		
P/E	26.9	17.3
P/BV	2.2	2.0
P/ABV	2.5	2.2
Other Ratios		
Cost/Income	54.1	53.3
CD ratio	66.5	67.5
CASA ratio	45.2	37.1
CAR	13.7	13.8

Source: Company, Dalal & Broacha Research

Canara Bank – Brief Financial Snapshot

P&L (Rs Cr)	FY20	FY21	FY22
Interest income	48,935	69,280	69,410
Interest expense	35,811	45,178	43,026
NII	**13,124**	**24,103**	**26,384**
Non-interest income	7,813	14,924	16,497
Net revenues	**20,937**	**39,027**	**42,881**
Operating expenses	11,577	19,338	19,792
PPOP	**9,360**	**19,689**	**23,089**
Provisions	11,115	15,982	14,127
PBT	**-1,756**	**3,707**	**8,962**
Tax	480	1,150	3,283
PAT	**-2,236**	**2,558**	**5,678**

Balance sheet	FY20	FY21	FY22
Share capital	1,030	1,647	1,814
Reserves & surplus	38,263	57,238	64,297
Net worth	**39,293**	**58,885**	**66,111**
Deposits	6,25,351	10,10,875	10,86,409
Borrowings	42,762	49,984	46,285
Other liability	16,469	33,932	28,174
Total liabilities	**7,23,875**	**11,53,675**	**12,26,980**
Fixed assets	8,276	11,207	11,356
Investments	1,76,245	2,61,690	2,82,013
Loans	4,32,175	6,39,049	7,03,602
Cash	68,271	1,78,408	1,82,054
Other assets	38,907	63,321	47,954
Total assets	**7,23,875**	**11,53,675**	**12,26,980**

Ratios	FY21	FY22
Growth (%)		
NII	83.7	9.5
PPOP	110.4	17.3
PAT	214.4	122.0
Advances	47.9	10.1
Deposits	61.6	7.5
Spread (%)		
Yield on Funds	7.9	6.2
Cost of Funds	5.2	3.9
Spread	2.7	2.3
NIM	2.7	2.3
Asset quality (%)		
Gross NPAs	8.9	7.5
Net NPAs	3.8	2.7
Provisions	57	65
Return ratios (%)		
RoE	5.2	9.1
RoA	0.3	0.5
Per share (Rs)		
EPS	16	31
BV	358	364
ABV	209	262
Valuation (x)		
P/E	20.9	10.4
P/BV	0.9	0.9
P/ABV	1.5	1.2
Other Ratios		
Cost/Income	49.6	46.2
CD ratio	63.2	64.8
CASA ratio	34.3	35.9
CAR	13.7	14.9

Source: Company, Dalal & Broacha Research

Bank of Baroda – Brief Financial Snapshot

P&L (Rs Cr)	FY20	FY21	FY22
Interest income	75,984	70,495	69,881
Interest expense	48,532	41,686	37,259
NII	**27,451**	**28,809**	**32,621**
Non-interest income	10,317	12,364	11,484
Net revenues	**37,769**	**41,173**	**44,105**
Operating expenses	18,077	20,544	21,716
PPOP	**19,692**	**20,630**	**22,389**
Provisions	21,494	15,074	13,002
PBT	**-1,802**	**5,556**	**9,386**
Tax	-2,348	4,727	2,114
PAT	**546**	**829**	**7,272**

Balance sheet	FY20	FY21	FY22
Share capital	925	1,036	1,036
Reserves & surplus	70,931	76,010	84,874
Net worth	**71,856**	**77,046**	**85,910**
Deposits	9,45,984	9,66,997	10,45,939
Borrowings	93,069	66,848	1,03,899
Other liability	47,006	44,474	42,252
Total liabilities	**11,57,915**	**11,55,365**	**12,78,000**
Fixed assets	8,889	8,016	9,922
Investments	2,74,615	2,61,220	3,15,795
Loans	6,90,121	7,06,301	7,77,155
Cash	1,21,901	1,20,413	1,22,655
Other assets	62,390	59,415	52,472
Total assets	**11,57,915**	**11,55,365**	**12,78,000**

Ratios	FY21	FY22
Growth (%)		
NII	4.9	13.2
PPOP	4.8	8.5
PAT	51.7	777.3
Advances	2.3	10.0
Deposits	2.2	8.2
Spread (%)		
Yield on Funds	6.5	6.1
Cost of Funds	4.0	3.4
Spread	2.5	2.7
NIM	2.6	2.8
Asset quality (%)		
Gross NPAs	3.4	5.0
Net NPAs	1.2	1.5
Provisions	65	70
Return ratios (%)		
RoE	1.1	8.9
RoA	0.0	0.4
Per share (Rs)		
EPS	2	14
BV	149	166
ABV	107	140
Valuation (x)		
P/E	120.6	13.7
P/BV	1.3	1.2
P/ABV	1.8	1.4
Other Ratios		
Cost/Income	49.9	49.2
CD ratio	73.0	74.3
CASA ratio	42.9	44.2
CAR	15.0	15.8

Source: Company, Dalal & Broacha Research

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